

4 ROA (PAT/Average Operating Assets)

Operating Assets						
Operating Asset Turnover	2.16	2.07	1.87	1.92	1.78	1.00
Margins(EBIT/Revenue)	18.85%	18.89%	19.63%	17.48%	19.26%	20.29%
ROA(EBIT/Operating Assets)	40.8%	39.1%	36.7%	33.5%	34.3%	20.3%
ROA (PAT/Avg Operating Assets)	62.11%	60.50%	61.29%	54.83%	53.94%	24.01%

As seen, the company is making good profits at the PAT level as well. We can calculate the margins that the company is making against its asset turnover.

The above items discussed are the factors that prove that the company has been able to use its operating assets pretty well at both EBIT and PAT levels.

The only question here that needs to be asked is, after the acquisition of another company, what will be the course of the business further on?



In the next unit, we will talk about Fixed Assets.